RISK ASSESSMENT NOTE

USD/CAD Hedging Review: Unhedged US Equity Positions

Date: June 10, 2024 | Ref: RISK-2024-FX-008

Risk Type: Currency / FX Risk

Severity: Medium

USD Exposure (unhedged): $1.47 billion CAD equivalent

Hedging Ratio: Currently 0% hedged

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Background

The portfolio maintains a 20% strategic allocation to US equities, all denominated in USD. The current policy is to leave this exposure unhedged based on the Investment Committee's view that (1) long-term USD/CAD correlation with equity returns partially naturally hedges the exposure, and (2) hedging costs are material and reduce income generation. This note reviews whether the current unhedged approach remains appropriate given current FX dynamics.

Current FX Environment

The CAD has weakened from 0.765 USD/CAD (January 2024) to 0.733 USD/CAD (June 2024) - a depreciation of approximately 4.2%. This weakness reflects Bank of Canada rate cuts outpacing Fed cuts, lower oil prices reducing the commodity currency premium, and slower Canadian economic growth relative to the US. If the policy divergence continues, further CAD weakness is plausible with some models suggesting 0.70-0.72 range by year-end.

A weaker CAD is beneficial for unhedged US equity holders - the USD denominated returns are amplified when converted to CAD. Year-to-date, USD/CAD appreciation has added approximately 280bp to the US equity allocation's CAD return. This benefit is offset if CAD strengthens, as would occur if BoC rate cuts end earlier than expected or commodity prices recover.

Hedging Cost Analysis

Forward contract hedging costs reflect the interest rate differential between Canada and the US. With Canadian rates currently 100bp below US rates, the cost to hedge USD exposure for 12 months is approximately -1.0% per annum (negative cost = receive the rate differential by selling USD forward). This is actually a benefit to hedging currently - unusually, the forward points favour the hedger given BoC-Fed policy divergence.

We recommend the Investment Committee consider implementing a 50% strategic hedge ratio on the US equity allocation. At current rates, this would generate approximately $7.4M in additional annual income while reducing FX volatility of the portfolio by an estimated 40%.

Recommendation

Given (1) favourable hedging cost dynamics due to interest rate differential, (2) elevated uncertainty around CAD trajectory, and (3) the portfolio's significant USD exposure at $1.47B, we recommend implementing a 50% hedge ratio using 12-month rolling USD forward contracts. This would be reviewed annually. The hedge would be implemented gradually over 3 months to avoid market impact.